

Econ 2 - Lecture 8 - 4/22/26

Midterm Exam Monday, April 27th, 12:30 - 1:45 PM

30 multiple choice questions

Distributed similarly to time spent in lecture

Lecture Quiz #4 Released Today

Due Monday, April 27th @ 12:30 PM

Course Recap / Review

Econ 1 Topic $\rightarrow$ Supply & Demand

$\rightarrow$ Housing Market

$\rightarrow$ Shifts in Supply & Demand

$\rightarrow$ Limited to 2

$\rightarrow$ Breakdown complex questions
into $S \uparrow \downarrow$ or $D \uparrow \downarrow$

Health of Economy (Macroeconomic Indicators)

1) High Standard of Living

GDP $\rightarrow$ Definition

$\downarrow$

$\rightarrow$ Calculation

Shortcomings

$\rightarrow$ Use $\rightarrow$ Measure of Inflation

2) Stable Prices

Consumer Price Index (CPI)

3) Full Employment $\rightarrow$ not necessarily 0%

$\rightarrow$ Multiple types of UE

$\rightarrow$ UE Rate = $\# \text{ of UE} / \# \text{ in LF} \rightarrow$ adjustments $\rightarrow$ Discouraged

$\rightarrow$ IPT

Next Goals of Course:

Explain why the GDP (Y) is at a particular amount

why is $Y = 31T$ (nominal), $24T$ (Real)

Bigger Goal: Is it at $\bar{Y}$? full employment level of Y ?

↓
0% cyclical UE

1800s: Uncomplicated Growth

Classical Economists: "Laissez-faire" = "Let it be"

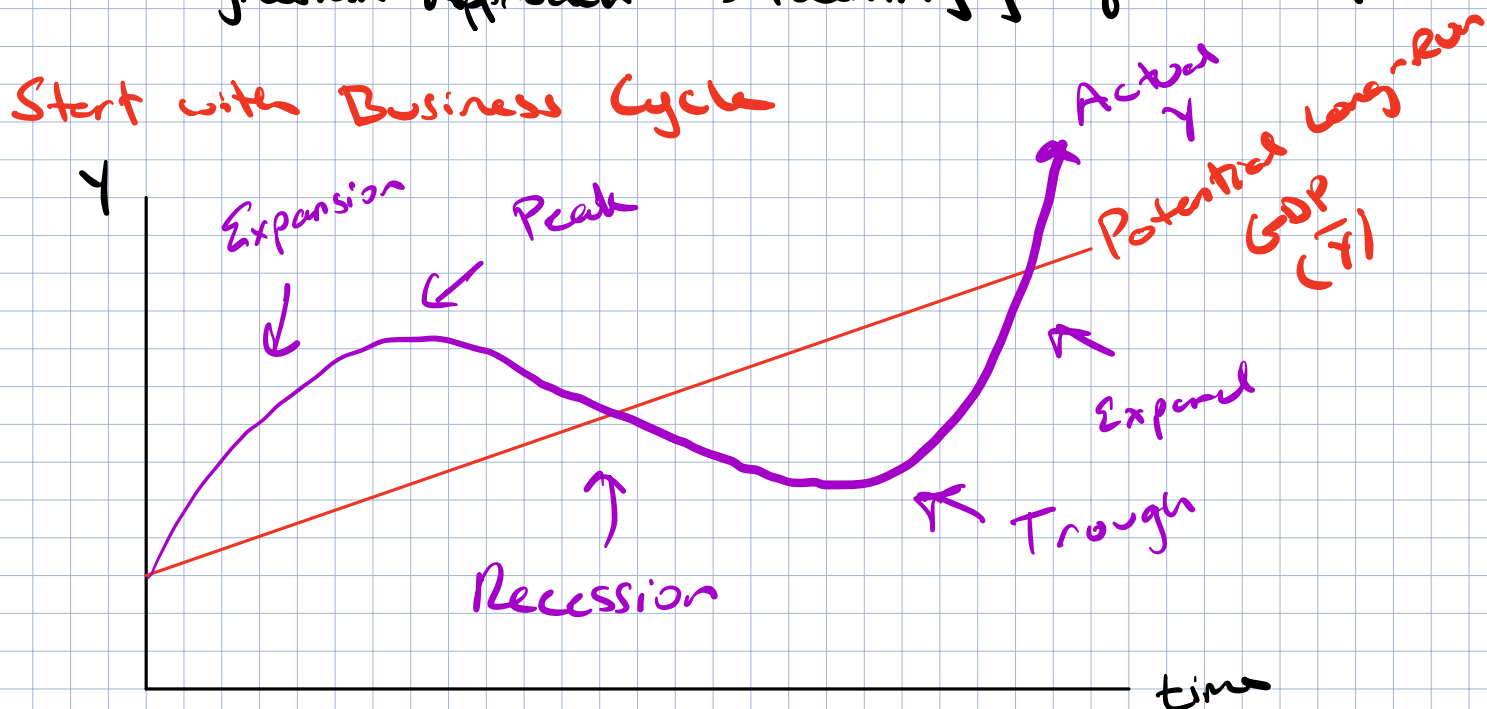
Great Depression ~ 15 years to recover

John Maynard Keynes: "In the long-run, we're all dead."

Policy Intervention → Accelerated return to full-employment

Model → Macroeconomic Equilibrium

"Keynesian Approach" → identifying equilibrium Y



Dating Recessions: National Bureau of Economic Research (NBER)

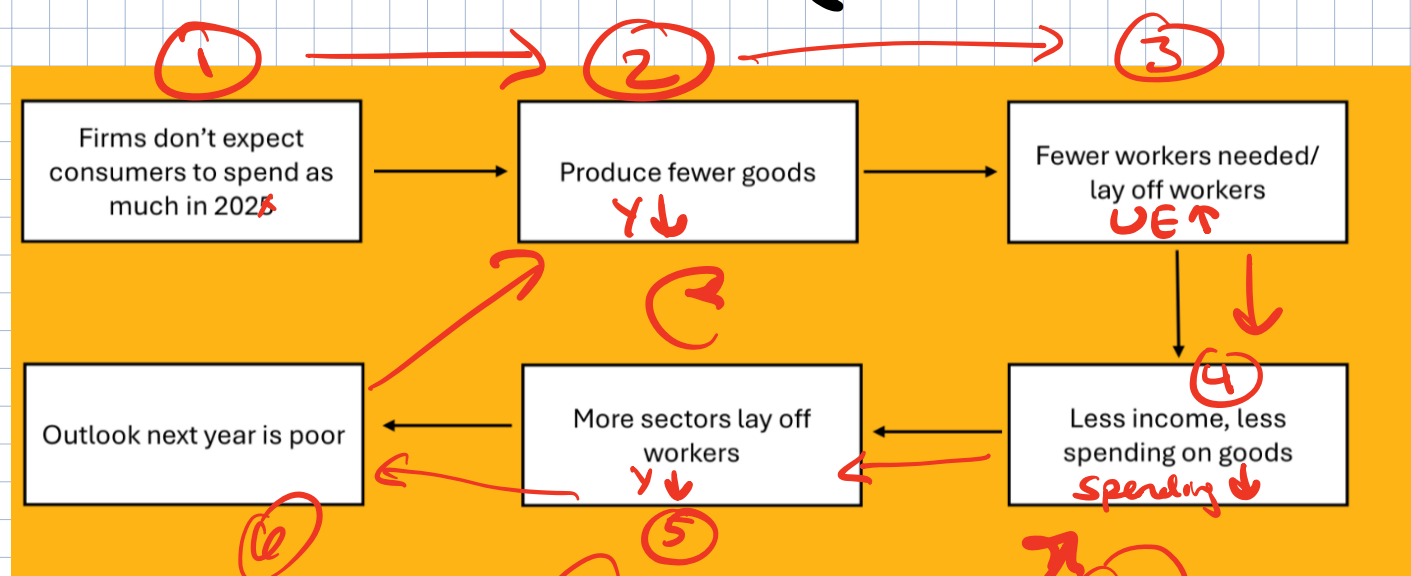
Recession: Multiple quarters of decreased } production
economic activity } + jobs

In 2023 → Decrease in Real GDP, no change in jobs
↳ not a recession UE

Great Depression ⇒ 3 or more year recession
⇒ 10%+ reduction in GDP
UE in 1930 = 25%

Great Recession = 2007 - 2009, lasted 18 months
Since WWII avg. Recession = 10 months
Less than a 10% drop in GDP

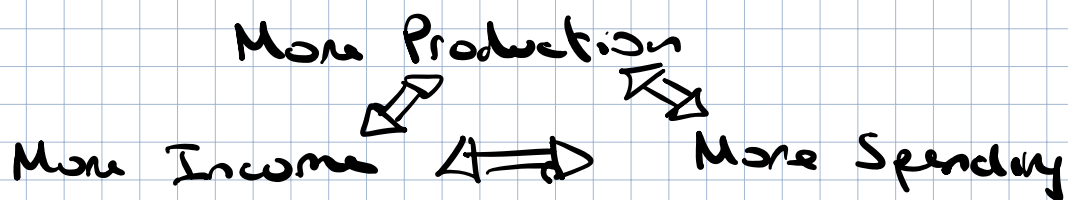
Model the entire economy?



Households
are concerned
about the future
A

Save a
bit more
B

Assumption: Relationship between



If Spending = 0, optimal level of production = 0
income = 0

Guiding Equilibrium Principle

$$\underbrace{Y = \text{Output} = \text{Production} = \text{Income}}_{\text{Chapter 3.1 (GDP)}} = \text{Spending}$$

Equilibrium is at $Y = \text{Aggregate Expenditures (AE)}$

Goal: Find the level of Y where $Y = AE$

Bigger Goal: Find our full-employment level of Y
 $\bar{Y} = AE$

What goes into spending / Aggregate Expenditures?

Biggest group of spending? Households

↳ Account for ~70% of AE

↳ Define Consumption (C) $\Rightarrow$ Same as GDP

Determinants of Consumption

Largest Determinant = Income (Y) in short-run of C

Want to find where $Y = AE$

70% of AE is C

Driver of C is Y

feels circular

$\Rightarrow$ find an equilibrium